capital cost by the private sector than the public sector. The government still spends a considerable amount of budgetary resources to subsidize or cover the losses of public enterprises providing such services. For example, providing budgetary resources to cover the losses of telephone services (MTNL and BSNL), transport services (Air India and Indian Railways), electricity services (DISCOMs), or several other goods the so-called 'public enterprises' are delivering today is not the correct use of scarce budgetary resources.

Second, excessive subsidies for private goods and overgenerous post-retirement benefits. Such excessive subsidies, like the ones for food, fertilizers, petroleum products, housing and crop loans, have led to unnecessary borrowings, which in turn have led to an unsustainable burden of debt and interest payments. Similarly, liberal and excessive post-retirement benefits to public servants cost a lot. These expenditures are generally incurred without focusing on those who are the poorest of the poor or the economically poor, and do not benefit the public in general.

Reforming the Basic Framework of Expenditures

India's expenditure framework, when examined against the basic framework stated above, is found to be riddled with numerous expenditures which the government should not be incurring and absence or inadequacies of many expenditures which the government should be incurring. India's expenditure framework urgently requires five basic reforms:

First, budget allocations for production of private goods and services in the public sector need to be thoroughly reviewed and downsized or eliminated. This should lead to the closure of loss-making and shuttered public enterprises and stoppage of budgetary support to cover losses in public-sector enterprises. This should also reduce capital investment in such enterprises and undertakings.